

DEFAULT PREVENTION AND MANAGEMENT PLAN

ENTRANCE COUNSELING:

At the time of the interview with the Financial Aid Office, the officer will explain to the students about the student loans that are available.

Saber College presently has Direct Loans. Direct Loans are borrowed money that must be repaid, with interest. Loans cannot be cancelled because the students did not like the education he/she received, didn't find a job in the field of study or due to having financial difficulties. The student must understand that loans are legal obligations. Students will be counseled to borrow only as much as the need for the studies so that when they start repayment the monthly payments will be lower. Students will be instructed that the Master Promissory Note is good for 10 years, they will be instructed as to how important it is for them to repay the loan, describe to them what happens if they default on their loans and tell will be shown the repayment charts to give them an idea of what their monthly payments will be when they go into repayment. School will keep on file two references for the students with the name, address, phone number and relationship to the student.

In addition, the students will have to complete the Tutorial online for the entrance counseling and provide the school with proof of passing the quiz.

FINANCIAL LITERACY FOR BORROWERS:

The students will be provided with a publication from the Federal Student Aid Information Center "Entrance Counseling Guide for Direct Loan Borrowers" and be given a brief summary of the types of loans available, how much money they will need to borrow, how much loan monies will they be eligible for, how much should they borrow, how repayment amounts will affect their budget after graduation, the interest rates, Loan consolidations (www/loan consolidation.ed.gov), help in repaying loans (ie. Teaching, Armed Forces).

Students will also be instructed as to how loan monies are paid. The school will credit the loan payments to the students account and will notify the student of said transaction. Students will be advised that before the loan money is disbursed they can cancel at any time by notifying the school.

Students are also told that the monies from the loan can only be used to pay for their education expenses. The entire unpaid amount of the loan may become due and payable if the student is not eligible for the loan or if the student is not enrolled at least half-time at the school that gave them the loan, or if the student gave false information that made them eligible for the loan.

Students will be told about the repayment options and choosing a repayment plan.

Students will be instructed to contact the Direct Loan Servicing on line and also will introduce them to NSLDS for Students where they can get an update on all their loans at NSLDS.ed.gov.

Deferments & Forbearances will be explained

For further Information on Repaying the Student Loan students will be informed about Borrower Services at the Director Loan Servicing Center 800 number or online www.dl.ed.gov.

EARLY IDENTIFICATION AND COUNSELING FOR STUDENTS AT-RISK

The school will counsel the students-at-risk who will usually be those who drop prematurely from their program, those students who are not meeting the satisfactory academic progress or both.

These students will be referred by their Academic Advisors to Financial Aid.

These students will be counseled as to the importance of repayment of their loans so that they will be in good standing to resume their education when the problems that caused their withdrawal from the school or their lack of academic progress are solved.

COMMUNICATION ACROSS CAMPUS

All school staff will be given training as to the importance of conveying to the students the need to pay for their loans and also to identify and communicate any deficits in academic progress and enrollment status. Financial Aid staff will communicate with the students at every contact as to the importance of repayment of the student loans. Flyers will be available and distributed at Orientation, entrance counseling and exit counseling as to the importance of repayment. Academic Advisors will keep Financial Aid Department staff advised of any potential problems so that the appropriate counseling takes place.

DEFAULT PREVENTION AND RETENTION STAFF

SABER has assigned the student advisors, who have among their duties Default Prevention and Retention.

Teachers will refer students that have been identified with academic and personal problems to the Default and Retention Trained Staff.

EXIT COUNSELING:

The school will provide EXIT Counseling to the students before their departure from the school.

The publication "Exit Counseling Guide for Direct Loan Borrowers" will be distributing to the upcoming completers. Students will be reviewed as to the different repayment plans available. They will be instructed as to the importance of avoiding delinquency and default and the consequences of default.

They will also be instructed as to the possibility of Deferment and forbearance, conditions for cancelling all or part of loan, loan consolidation and the estimated payments.

Students will be required to complete the "Student contact Information" as a requirement for graduation. This form includes updated information on the student and also 2 references with address and telephone number. Students will also complete and sign the Rights and Responsibilities Summary Checklist – Exit counseling.

Students will have to complete the Exit Counseling Tutorial on line and provide the school with proof of passing the quiz as a requirement for graduation. Student will need to provide three references with name, address and telephone number and complete the Exit Counseling Interview.

WITHDRAWALS

The school will work with the students that have been identified as potential dropouts by the Counselors, since early identification and intervention can improve student retention. The students who do drop out will be referred to Financial Aid so that they can do their EXIT Counseling and so that they can be counseled as to the importance of paying their loans. The students will be counseled so that they realize of the need to pay their loan so when they do decide to start studying again they will be in good standing in order to be eligible for loans.

TIMELY AND ACCURATE ENROLLMENT REPORTING

Timely and accurate reporting to the Secretary (COD) is not only a requirement by regulation, but also promotes school and student success. With accurate and timely reporting the students are ensured the full grace period.

NSLDS DATE ENTERED REPAYMENT REPORT (DER) REPORT

The DER Report will be requested by the school to compare the status of the report to the school's records so that the necessary correction can be made.

EARLY STATE DELINQUENCY ASSISTANCE (ESDA)

Early stage delinquency assistance will begin at the time of separation or early into the grace period.

This will assist the student to prepare for entry into loan repayment. Borrowers who have failed to complete their academic program will most likely encounter difficulties initiating and maintaining on-time loan repayment. ESDA will give the school the opportunity to provide focused, enhanced loan counseling, borrower education, and personal support during the grace period, and in so help decrease the chances of later loan default.

The school will contact the delinquent students twice a month to inform the students of their options and to refer them to the help that is available for them.

For Direct Loan Schools: Direct Loan Servicing/Schools website, accessed via COD website at www.cod.ed.gov

The school will collect ample reference information from the student, including cell phone number, e-mail addresses and numbers and names of family members. Contacting borrowers is an essential activity upon which successful default prevention and management can be built.

LOAN RECORD DETAIL REPORT (LRDR) DATA REVIEW

Schools, borrowers and loan programs all benefit from a thorough examination of the CDR data to ensure that the rates are accurate and include the correct borrowers and loans. Upon receipt of the rates, the school will examine the LRDR that contains the data that comprised the CDR calculation and challenge any incorrect data reflected in the CDR and request and adjustment or submit an appeal of inaccurate data as reflected in the official CDR.

ANALYZE DEFAULTED LOAN DATA TO IDENTIFY DEFAULTER CHARACTERISTICS

Since no matter how effective and far reaching a default prevention management plan is, some borrowers will default. The plan will be reviewed periodically to determine the progress in preventing default. The review should comprehensively analyze the defaulters. A study will then be made of who is defaulting and why. This information can then be used to improve the default prevention and management practices and initiatives. Data will include key information as to Program of study, high school attended, grades etc. Frequent examination of defaulter characteristics together with an assessment of management successes and shortcomings will provide valuable information. The correction of ineffective practices will prevent current and future borrowers from experiencing the same difficulties that affected the past defaulters.

The college has entered into an agreement with TFC Credit Corporation to offer a student ways to avoid defaulting. TFC offers the students ability to extend their loans and avoid loan default.

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